

Date : Aug 19, 2022

FAQs on Resolution Framework for Covid-19 related stress (Revised on December 12, 2020) (Updated as on August 19, 2022)

1. In Paragraph 4 of the Annex to the Resolution Framework, it is stated that the reference date for the outstanding amount of debt that may be considered for resolution shall be March 1, 2020. Does this mean that only debt outstanding as on March 1, 2020 can be resolved under the Resolution Framework?

The stipulation at Paragraph 4 of the Annex to the Resolution Framework is a general clause regarding the date on which the eligibility criteria for resolution under the Resolution Framework may be assessed. The specific application of the reference date with respect to deciding the eligibility of accounts for resolution under Part A and Part B of the Annex to the Resolution Framework have been separately specified in Paragraphs 6 and 13 respectively, i.e, the requirement that the borrowers should be classified as standard, but not in default for more than 30 days with any lending institution as on March 1, 2020. The actual debt that may be considered for resolution will be the outstanding as on the date of invocation.

2. Are all the farm credit as listed in Paragraph 6.1 of Master Direction FIDD.CO.Plan.1/04.09.01/2016-17 dated July 7, 2016 (as updated) ineligible under the Resolution Framework? Are the JLG loans provided to farmer households by MFIs are eligible for resolution plan under the Resolution Framework?

All the farm credit exposures of all lending institutions, including NBFCs, of the nature listed in Paragraph 6.1 of Master Direction FIDD.CO.Plan.1/04.09.01/2016-17 dated July 7, 2016 (as updated), except for loans to allied activities, viz., dairy, fishery, animal husbandry, poultry, bee-keeping and sericulture are excluded from the scope of the Resolution Framework. Subject to the above, loans given to farmer households would be eligible for resolution under the Resolution Framework if they do not meet any other conditions for exclusions listed in the Resolution Framework.

3. In real estate sector and other sectors where a company typically may have multiple projects financed through multiple instruments, can the ICA, escrow account and the financial parameters including the prescribed thresholds be made applicable at the project level rather than the legal entity to which the lending institutions may have exposure?

The requirement of ICA in respect of the entity to which lending institutions have exposure is a basic feature of Prudential Framework for Resolution of Stressed Assets dated June 7, 2019, and consequently that of the Resolution Framework. There is sufficient flexibility to the lending institutions to formulate ICAs in respect of a legal entity to which they have exposure that address the specific requirements of each borrowers on a case to case basis, including designing different resolution approaches for different projects under the same borrower within an ICA. Similarly, apart from the escrow account required to be set up at the legal entity level as required by the Resolution Framework, there is no prohibition in setting up additional separate escrow accounts at each project level, if the lenders desire so. Only in respect of borrowers belonging to real estate sector, and have both residential and commercial real estate business, the prescribed thresholds for the financial parameters may be applied at the project level.

4. The Resolution Framework states that the accounts that do not fulfill the eligibility conditions may continue to be considered under the prudential framework applicable to the specific category of institutions. Does it mean that alternative resolution frameworks available to a specific category of financial institutions such as Paragraph 2(1)(zc)(ii) of the Master Circular – The Housing Finance companies (NHB) Directions, 2010 for housing finance companies, and Paragraph 2.2.7.21 of the Master Circular- Income Recognition, Asset Classification, Provisioning and Other Related Matters – UCBs dated July 1, 2015 for Urban Co-operative Banks would continue to be applicable for non-Covid impacted borrowers?

For the borrowers eligible for resolution under the circular dated August 6, 2020 on Resolution Framework for COVID-19-related Stress, the circular dated August 6, 2020 will be applicable if a resolution process under the circular is invoked. For all other borrowers, the extant instructions as otherwise applicable shall still be in force. However, if any entity is otherwise eligible to be resolved under the Resolution Framework, only Resolution Framework can be used for resolving the stress arising out of the pandemic.

5. Are microfinance loans to individuals, including JLG borrowers, eligible for resolution under the Resolution Framework? Similarly, whether Loans sanctioned to Self Help Groups (SHGs) engaged in non-farm activities are eligible to the benefit under the Resolution Framework?

All loans meeting the eligibility criteria, unless covered by the specific exclusions listed in Paragraph 2 of the Annex to the Resolution Framework subject to the clarification at Sl. No. 2 above fall within the scope of resolution under the framework. These loans, if not falling under any of the categories mentioned in Paragraph 2 of the Annex to the Resolution Framework, is eligible for resolution under Part A of the Annex if they fall within the purview of “personal loans” as defined in the Circular DBR.No.BP.BC.99/08.13.100/2017-18 dated January 4, 2018 on “XBRL Returns – Harmonization of Banking Statistics”, even if they are not explicitly classified as so in any regulatory / supervisory reporting, or under Part B of the Annex otherwise.

6. In Paragraph 8 of the Annex to the Resolution Plan, it is stated that resolution under this framework may be invoked not later than December 31, 2020 and must be implemented within 90 days from the date of invocation. What are the meanings of the terms ‘invocation’ and ‘implementation’ in this context?

The definitions of invocation and implementation in respect of eligible personal loans have been given in Paragraphs 7 and 10 respectively of the Annex to the Resolution Framework. In respect of other eligible loans, invocation shall be as per Paragraphs 14 and 15 of the Annex to the Resolution Framework whereas implementation shall have the meaning as per Paragraphs 14-16 of the circular dated June 7, 2019 on Prudential Framework for Resolution of Stressed Assets.

7. Is the Resolution Framework applicable to all exposures, including investment exposures that are credit substitutes like corporate bonds, commercial papers etc.?

The Resolution Framework may be invoked for resolution of all exposures of lending institutions to eligible borrowers, including investment exposures. However, the Resolution Framework is without prejudice to all applicable guidelines issued by the relevant financial sector regulators and other Departments of the RBI in respect of any particular exposure.

8. Are the various additional provisions prescribed in the Resolution Framework applicable to NBFCs who are following IndAS?

NBFCs which are required to comply with Indian Accounting Standards (IndAS) shall, as hitherto, continue to be guided by the guidelines duly approved by their Boards and as per ICAI Advisories for recognition of significant increase in credit risk and computation of Expected Credit Losses. However, the various additional provisions mentioned in the circular dated August 6, 2020 would constitute the prudential floors for the purpose of Paragraph 2 of the Annex to the circular DOR (NBFC).CC.PD.No.109/22.10.106/2019-20 dated March 13, 2020 on Implementation of Indian Accounting Standards.

9. Whether the list of financial parameters prescribed by the Expert Committee and notified by RBI on September 7, 2020 are applicable only to borrowers having exposure of more than ₹1500 crore or for all resolution plans to be undertaken in terms of Resolution Framework?

The instructions in the circular dated September 7, 2020 is applicable in the case of all borrowers in respect of whom resolution is being undertaken in terms of Part B of the Annex to the circular dated August 6, 2020 on Resolution Framework.

10. Are the additional provisions prescribed under the Resolution Framework to be treated as specific provisions to be maintained or as general provisions that would partly qualify for inclusion as Tier 2 capital?

The various additional provisions prescribed under the Resolution Framework are specific provisions to be maintained in respect of each exposure under consideration.

11. Can lending institutions implement resolution plans involving deferment of date of commencement of commercial operations (DCCO) in respect of projects under implementation under the Resolution Framework?

Restructuring in respect of projects under implementation involving deferment of DCCO are excluded from the scope of the Resolution Framework. The extant regulations contained in Paragraph 4.2.15 of DBR.No.BP.BC.2/21.04.048/2015-16 dated July 1, 2015, DOR.No.BP.BC.33/21.04.048/2019-20 dated February 7, 2020 and the other relevant instructions as applicable to specific category of lending institutions, already permit revisions of the DCCO and consequential shift in repayment schedule without being treated as restructuring subject to a maximum of four years in the case of infrastructure projects and a maximum of two years in the case of non-infrastructure projects (including commercial real estate exposures). In addition to the above, DCCO of projects may be extended by a further two years in case of change in ownership subject to the conditions specified in the above instructions.

12. Is there any minimum cut off with respect to aggregate outstanding exposure with banking system for mandatorily signing ICA under the Resolution Framework? Also, whether the ICA norms are applicable to loans availed by individuals for business purpose from two or more banks?

If there are multiple lending institutions with exposure to a borrower whose resolution is undertaken in terms of Part B of the Annex to the Resolution Framework, all lending institutions having exposure to such borrower are required to enter into ICA.

13. In Paragraph 33 of the Annex to the Resolution Framework, it is stated that Resolution plans in respect of accounts where the aggregate exposure of the lending institutions at the time of invocation of the resolution process is ₹100 crore and above, shall require an independent credit evaluation (ICE) by any one credit rating agency (CRA) authorized by the Reserve Bank under the Prudential Framework. What will be the minimum desirable ICE symbol for this purpose?

Only such resolution plans which receive a credit opinion of RP4 or better for the residual debt from a CRAs shall be considered for implementation under the Resolution Framework. In case credit opinion is obtained from more than one CRA, all such credit opinions must be RP4 or better.

14. The definition of MSME had been changed by the Government vide Gazette notification dated June 26, 2020. As the reference date for the Resolution Framework is March 1, 2020, which definition of MSMEs will be applicable for the purpose of eligibility or otherwise for resolution under the Resolution Plan?

For the purpose of eligibility for resolution under the Resolution Framework, the definition of MSME that would be applicable is the one that existed as on March 1, 2020.

15. The circular dated September 7, 2020 has listed only a few sectors in respect of which the threshold values for the mandatory financial parameters have been prescribed. Does this mean that Resolution Framework is not applicable to borrowers belonging to other sectors?

Resolution Framework is applicable in respect of all eligible borrowers subject to the exclusions prescribed in Paragraph 2 of the Annex to the circular dated August 6, 2020. In respect of those sectors where the sector-specific thresholds have not been specified in the circular dated September 7, 2020, lending institutions shall make their own internal assessments regarding TOL/ATNW and Total Debt/EBITDA. However, the current ratio and DSCR in all cases shall be 1.0 and above, and ADSCR shall be 1.2 and above.

16. If a loan account was more than 30 DPD on March 1, 2020, but subsequently got regularised through receipt of overdue, will such accounts be eligible for resolution plan under this framework?

Such accounts are ineligible for resolution under the Resolution Framework as the Resolution Framework is applicable only for eligible borrowers which were classified as standard, but not in default for more than 30 days as on March 1, 2020. However, such accounts may still be resolved under the Prudential Framework dated June 7, 2019.

17. Will the following categories of loans be classified as personal loans:

“Loan Against Property” loans which are availed for business purpose but are secured by immovable assets

Loans granted to individuals where the property is in name of individual and a related company/non individual entity has been taken as co-borrower on the loan structure to supplement the income for repayment of loan.

If not, where would such set of customers would be covered for Covid-19 related stress?

In terms of the circular DBR.No.BP.BC.99/08.13.100/2017-18 dated January 4, 2018, the above exposures do not qualify as personal loans. In such cases, the resolution of eligible borrowers may be undertaken under Part B of the Annex to the Resolution Framework.

18. Does invocation under the Resolution Framework require the borrowers to submit any specific resolution plan and the lenders to agree on implementation of the same before December 31, 2020?

No. The Resolution Framework does not require any resolution plan in any form to be submitted to the lending institutions at the time of request for invocation. Rather, for invocation, the borrowers are required to merely submit a request to the lending institutions for being considered under the Resolution Framework. Thereafter, the lending institutions will take an in-principle decision – as per their Board approved policy – on invoking the Resolution Framework. After such invocation, the specific contours of resolution plan to be implemented may be decided by the lending institutions, in consultation with the borrower. While for personal loans the resolution plan is to be implemented within 90 days from the date of invocation, for all other loans a period of 180 days from the date of invocation has been prescribed.

19. In case only term loan facility of a borrower has been restructured, whether a lender having only working capital exposure to the same borrower is required to create provisions under the Resolution Framework, even if working capital exposure has not been restructured?

Para 17 read with para 21 of the Resolution Framework for COVID-19-related Stress dated August 6, 2020 (RF 1.0) makes signing of ICA mandatory for all the lending institutions who have exposure to the concerned borrower (subject to para 191). Since the borrower has opted for restructuring as a consequence of stress in the account, all the exposures to the borrower shall be treated as restructured and provisions shall be held on the entire residual debt, including the working capital facility.

20. In case a lender has only working capital exposure, what will be the criteria for reversal of provisions?

For an exclusive working capital lender, where the exposure is in the form of facilities other than term loans, provisions can be reversed after satisfactory performance² of the working capital facility for one year, post implementation of the Resolution Plan.

In respect of outstanding 'loan component' of working capital limit (Working Capital Loan), paragraphs 453 of RF 1.0 shall apply, which provides for two-stage reversal of provisions on repayment of the stipulated proportion of the residual/carrying debt at each stage, subject to the prescribed conditions.

21. Post-implementation of the resolution plan, will the required provisioning change with the change in the outstanding balance of residual debt, which may arise on account of repayment or disbursal of additional amounts?

The lending institutions shall make provisions on the residual debt at the time of implementation of the Resolution Plan, as stipulated in the relevant Resolution Framework. These provisions need to be held, irrespective of changes in the outstanding balance, until the same is reversed in terms of the provisions contained in the relevant Resolution Framework.

22. Post-implementation of the resolution plan, will the required provisioning change with the change in the outstanding balance of residual debt, which may arise in case of any non-fund based facility getting devolved subsequently into fund-based facility?

The lending institutions shall make provisions on the residual debt at the time of implementation of the Resolution Plan, as stipulated in the relevant Resolution Framework. If any non-fund based facility gets devolved subsequently, the devolved amount shall be reckoned as residual debt⁴ and shall attract provisions as per Paragraph 405 and 416 of RF 1.0, and consequently, the assessment of monitoring period should be updated accordingly. The entire provisions (including the provisions on the devolved amount) shall be held, until the same is reversed in terms of the provisions contained in the relevant Resolution Framework.

1 Para 19. Lenders to the borrower which are other than the lending institutions as per this circular may also sign the ICA, if they so desire. If such lenders sign the ICA, they shall be fully bound by the stipulations of the ICA

2 As defined in the Prudential Framework dated June 07, 2019.

3 Para 45. In case of resolution of other exposures, the provisions maintained by the ICA signatories may be reversed as prescribed in Para 44. However, in respect of the non-ICA signatories while half of the provisions may be reversed upon repayment of 20 percent of the carrying debt, the other half may be reversed upon repayment of another 10 per cent of the carrying debt, subject to the required IRAC provisions being maintained.

4 As at the time of implementation of the Resolution Plan

5 In other cases where a resolution plan is implemented under this facility, the lending institutions, which had signed the ICA within 30 days of invocation, shall keep provisions

from the date of implementation, which are higher of the provisions held as per the extant IRAC norms immediately before implementation, or 10 percent of the total debt, including the debt securities issued in terms of para 30, held by the ICA signatories post-implementation of the plan (residual debt).

6 However, lending institutions which did not sign the ICA within 30 days of invocation shall, immediately upon the expiry of 30 days, keep provisions of 20 per cent of the debt on their books as on this date (carrying debt), or the provisions required as per extant IRAC norms, whichever is higher. Even in cases where the invocation lapses on account of the thresholds for ICA signing not being met, in terms of para 18, such lending institutions which had earlier agreed for invocation but did not sign the ICA shall also be required to hold 20 percent provisions on their carrying debt.

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Date : Jun 11, 2021

Guidelines for Appointment of Statutory Central Auditors (SCAs)/Statutory Auditors (SAs) of Commercial Banks (excluding RRBs), UCBs and NBFCs (including HFCs)
(Ref.No.DoS.CO.ARG/SEC.01/08.91.001/2021-22 April 27, 2021)

The Circular dated April 27, 2021 on 'Guidelines for Appointment of Statutory Central Auditors (SCAs)/Statutory Auditors (SAs) of Commercial Banks (excluding RRBs), UCBs and NBFCs (including HFCs), has been issued by RBI with the basic objectives of putting in place ownership-neutral regulations, ensuring independence of auditors, avoiding conflict of interest in auditor's appointments and to improve the quality and standards of audit in RBI Regulated Entities. These guidelines will also help in streamlining the procedure for appointment of Statutory Auditors across all the Regulated Entities and ensure that appointments are made in a timely, transparent and effective manner.

In view of certain clarifications being sought in the matter, it has been decided to publish Frequently Asked Questions (FAQs) and the necessary clarifications, as given below:

1. As per Para 6.4, whether the time gap of one year between any non-audit works by the SCAs/SAs for the Entities or any audit/non-audit works for its Group Entities has to be ensured for all the Entities in the Group or the RBI Regulated Entities in the Group?

The Group Entities refer to the RBI Regulated Entities in the Group, which fulfill the definition of Group Entity, as provided in the Circular¹. However, if an audit firm engaged with audit/non-audit works for the Group Entities (which are not regulated by RBI) is being considered by any of the RBI Regulated Entities in the Group for appointment as SCAs/SAs, it would be the responsibility of the Board/ACB/LMC of the concerned RBI Regulated Entity to ensure that there is no conflict of interest and independence of auditors is ensured, and this should be suitably recorded in the minutes of the meetings of Board/ACB/LMC.

2. As per Para B (iv) of Annex I, if any partner of a Chartered Accountant firm is a director in any Entity, the said firm shall not be appointed as SCA/SA of any of the Group Entities of that Entity. Whether this stipulation is applicable to all the Entities in the Group or the RBI Regulated Entities in the Group?

The Group Entities here refer to the RBI Regulated Entities in the Group, which fulfill the definition of Group Entity, as provided in the Circular. Therefore, if any partner of a Chartered Accountant firm is a director in an RBI Regulated Entity in the Group, the said firm shall not be appointed as SCA/SA of any of the RBI Regulated Entities in the Group. However, if an audit firm is being considered by any of the RBI Regulated Entities in the Group for appointment as SCAs/SAs, whose partner is a director in any of the Group Entities (which are not regulated by RBI), the said audit firm shall make appropriate disclosures to the ACB as well as Board /LMC.

3. As per Para 6.4, whether the Entities are required to look back for one year (regarding any non-audit works for the Entities or any audit/non-audit works for the Group Entities) before appointment of an audit firm as SCAs/SAs for FY 2021-22?

Before appointment of an audit firm as SCA/SA of the RBI Regulated Entity, there should be a time gap of minimum one year between this appointment and completion of the assignment of any non-audit works given to the same audit firm in that RBI Regulated Entity or completion of any audit/non-audit works in other RBI Regulated Entities in the Group. This stipulation shall be applicable prospectively, i.e. from FY 2022-23. Therefore, if an audit firm is involved in some non-audit work with the Entity and/or any audit/non-audit work in other RBI Regulated Entities in the Group and completes or relinquishes the said assignment prior to the date of appointment as SCA/SA of the Entity for FY 2021-22, the said audit firm would be eligible for appointment as SCA/SA of the Entity for FY 2021-22.

It is reiterated that the time gap between any non-audit works by the SCAs/SAs for the Entities or any audit/non-audit works for its Group Entities should be at least one year after completion of the audit assignment as SCA/SA.

4. Can the existing SCAs/SAs continue if they do not fulfill the eligibility criteria but are yet to complete their original tenure of appointment? Are the Entities required to appoint SCAs/SAs (including as Joint Auditors) immediately or they can be appointed in the ensuing Annual General Meeting (AGM)?

The existing SCAs/SAs of the Entity can continue (including as Joint Auditors) only if they fulfill the eligibility criteria and have not completed the stipulated tenure of three years as SCAs/SAs of the Entity. Till the appointment of SCAs/SAs for FY 2021-22, as per the requirements of the Circular and applicable statutory provisions, the SCAs/SAs for FY 2020-21 can continue for the Limited Review for Q1, Q2, etc.

5. As per Para 6.3, whether an audit firm doing audit of any Company/Entity with Large Exposure² to the Entity is prohibited from being appointed as SCA/SA of the Entity?

The Circular does not prohibit an audit firm from doing audit of any Company/Entity with Large Exposure to the Entity from being appointed as SCA/SA of the Entity. It only stipulates that this aspect should also be explicitly factored while assessing independence of the auditor. In this regard, the Board/ACB/LMC shall see that there is no conflict of interest and the independence of auditors is ensured.

6. As per Para 8.3, whether the limit of audit of four commercial banks, eight UCBs and eight NBFCs for an audit firm in a year is applicable to audit of NBFCs with asset size below Rs. 1,000 crore also?

These limits are applicable in respect of audit of all RBI Regulated Entities, irrespective of the asset size.

1As per the Footnote 13 of Annex 1 of the Circular.

2As defined in RBI Circular Ref. DBR.No.BP.BC.43/21.01.003/2018-19 dated June 03, 2019 on 'Large Exposures Framework'

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Date : Feb 02, 2021

Compliance functions in banks and Role of Chief Compliance Officer (CCO)
(Ref. No. DoS. CO.PPG/SEC.02/11.01.005/2020-21 dated September 11, 2020)

1. As per Para 2.1, the compliance function is expected to ensure compliance to all applicable statutory provisions, apart from other rules, regulations and code of conducts. As different groups/departments in the banks are responsible to ensure compliance to different statutory requirements, what would be the exact expectations from the compliance functions?

Banks need to ensure compliance to all applicable statutory provisions, rules and regulations, various codes of conducts (including the voluntary ones) and their own internal rules, policies and procedures. It is, however, reiterated that compliance is a shared responsibility of the business units and the compliance function. Therefore, adherence to applicable statutory provisions and regulations needs to be the responsibility of each staff member of the bank and it is the work of the compliance function to ensure the same.

In some banks, there may be separate departments looking after compliance to different statutory and other requirements while the compliance function may be responsible for monitoring compliance with the regulations, internal policies and procedures and reporting to Management. The concerned departments would hold the prime responsibility for their respective areas, which should be clearly outlined, while compliance function would need to ensure overall oversight. If serious gaps are observed in such compliances, the compliance function should take necessary action to correct the compliance culture. There should also be appropriate mechanisms for co-operation among departments and with the Chief Compliance Officer.

2. In para 2.4 of the circular, the age limit of not more than 55 years is mentioned as one of the eligibility criteria for appointment as CCO. What would be the reference point for considering the age limit?

The age-limit in para 2.4 of the aforesaid circular was given with the objective of ensuring that the responsibilities associated with CCO are treated as a specialised and core function. Keeping in view the above principle, if a person identified as CCO is above the age of 55 years, however, she/he has had continuous association with the compliance function either as CCO or otherwise, the age limit of 55 years may be taken as the date from when the continuous association with the compliance function started for the identified CCO. Illustratively, if a person identified for CCO role has age more than 55 years but she/he has been continuously associated with the compliance function prior to completing the age of 55 years, the person would be eligible for such appointment.

3. Para 2.4 prescribes that the CCO shall have an overall experience of at least 15 years in the banking or financial services out of which minimum 5 years shall be in the Audit / Finance / Compliance / Legal / Risk Management functions. Whether any other category of experience would also be relevant for considering the minimum 5 years-experience?

The principle behind this requirement is that the identified CCO is a well experienced official so that she/he discharges the mandated functions independently and effectively. Accordingly, in line with the above, Risk Management functions shall also include control functions within the business lines. Therefore, if a regional/zonal/business head had the requisite responsibility/experience on the control functions of the business lines for 5 years or more, she/he shall be eligible for the post of CCO under this condition.

4. What would be the selection process/reporting line (in terms of para 2.5 and 2.7) in case of Foreign Bank Operating under the Branch Model (FBOBM)?

The provisions relating to process of selection / removal / qualification, etc. would be fully applicable to foreign banks operating under the branch model (FBOBM). However, in respect of FBOBM, any reference to the Board in terms of para 2.5 of the aforesaid circular detailing the selection process would be treated as equivalent to the Regional or Head Office Compliance. Further, in terms of para 2.7 on detailing the reporting line, any reference to the Board/ACB would be treated as equivalent to Regional or Head Office Compliance in case of FBOBM.

5. What is the 'Fit and Proper' criteria to be followed in respect of appointment of CCO?

In terms of para 2 of the circular, CCO is to be selected through a suitable process with an appropriate 'Fit and Proper' evaluation/selection criteria. 'Fit and Proper' criteria may be examined and reported from the perspectives of competency, integrity and conflict of interest, among others.

6. Looking at the difficulties being faced by many banks on the issue of appointment of new CCO meeting all requirements, whether the time period allowed for appointment of the CCO may be extended from the prescribed period of six months?

In view of the difficulties expressed by banks, they may follow the indicated processes for selection of CCO in the above circular within a period of nine months from the date of the circular viz. September 11, 2020 and are free to reappoint the current incumbent as the CCO if she/he meets the requirements.

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Date : Feb 25, 2020

CRR exemption

(Ref: Circular DOR.No.Ret.BC.30/12.01.001/2019-20 dt. February 10, 2020)

Pursuant to the announcement made in the Statement on Developmental and Regulatory Policies of February 6, 2020, the Reserve Bank issued a circular on February 10, 2020 advising banks that an amount equivalent to incremental credit outstanding from the fortnight beginning January 31, 2020 and up to the fortnight ending July 31, 2020 will be eligible for deduction from NDTL for the purpose of computing CRR for a period of five years from the date of origination of the loan or the tenure of the loan, whichever is earlier. Some banks have sought clarifications with regard to issues like computation of incremental credit and segments eligible for exemption, among others. At the outset, it is clarified that the exemption is available on equivalent incremental credit to three segments (retail loans to automobiles, residential housing and loans to MSMEs) which is based on the difference between outstanding credit to these segments as on January 31, 2020 and subsequent fortnights up to July 31, 2020. Key queries raised and our responses thereto are set out below:

Sr.No. Query Clarification

1. How to compute equivalent amount of incremental credit that can be deducted/exempted from the NDTL for the purpose of CRR? The outstanding retail loans to automobiles, residential housing and loans to MSMEs (hereafter called as the specified segments) as on every reporting Friday beginning reporting February 14, 2020 and up to the reporting Friday ending July 31, 2020, will be deducted from the outstanding credit to the respective segments as on January 31, 2020. If the difference between the outstanding credit is positive, the equivalent amount of difference be deducted from NDTL for the purpose of CRR maintenance. If the difference in credit to any of the specified segment is negative, it should be ignored. The incremental credit will be calculated segment-wise (see example at Annex 1).
2. Whether factoring units of MSMEs discounted under the 'Trade Receivables Discounting System (TReDs) are eligible for exemption/deduction? Yes.
3. For how long such deductions/ exemptions are allowed? The amount of incremental credit as on July 31, 2020 (over the outstanding credit as on January 31, 2020) will be reduced to the extent of repayments and NPAs and the net amount of incremental credit will be eligible for the benefit of deduction from NDTL for a maximum period of 5 years, i.e., up to the fortnight ending January 24, 2025, or the tenure of the loan, whichever is earlier.
4. Any specific format to be kept for Audit Purpose by RBI. No. Information maintained by banks should enable supervisory verification.

Annex 1

Outstanding Credit (Rs. Crore)	Retail loans for automobiles		Retail loans for residential housing	
	Loans to MSMEs			

A. As on January 31, 2020	150	120	130	
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B. As on reporting Friday of February 14, 2020	180	110	150	
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C. As on reporting Friday of July 31, 2020	500	480	110	
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Scenario 1

Incremental Credit for the reporting Friday of February 14, 2020 (B – A)	30	(-)10	20	
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Scenario 2

Incremental Credit for the reporting Friday of July 31, 2020 (C – A)	350	360	(-)20	
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Scenario 3 (say after 2 years)

D. Incremental credit (same as on July 31, 2020)	350	360	(-)20	
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E. Repayments	50	60	50	
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F. NPAs for incremental credit	40	10	10	
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Incremental Credit (D-E-F)	350-50-40=260	360-60-10=290	(-)20-50-10= (-)80	
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In scenario 1, the incremental credit to specified segments eligible for deduction from the NDTL of February 14, 2020 would be Rs. 50 crore (Rs. 30 crore for retail loans to automobiles + Rs. 20 crore loans to MSMEs. The negative difference of Rs.10 crore in respect of retail loans to residential housing should be ignored.

In scenario 2, the incremental credit to specified segments eligible for deduction from the NDTL of July 31, 2020 would be Rs. 710 crore (Rs. 350 crore for retail loans for automobiles + Rs. 360 crore to retail loans for residential housing). The negative difference of Rs. 20 crore in respect of loans to MSMEs should be ignored.

In scenario 3, total incremental credit to the specified segments eligible for deduction from the NDTL would be Rs. 550 crore (Rs. 260 crore for retail loans to automobiles + Rs.290 crore to retail loans for residential housing). The negative difference of Rs. 80 crore in respect of loans to MSMEs should be ignored.

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Date : Aug 30, 2019

Partial Credit Guarantee Scheme Offered by GoI to PSBs for purchasing high-rated pooled assets from NBFCs/HFCs

Frequently Asked Questions on Partial Credit Guarantee offered by Government of India (GoI) to Public Sector Banks (PSBs) for purchasing high-rated pooled assets from financially sound Non-Banking Financial Companies (NBFCs) / Housing Finance Companies (HFCs) – vide its notification dated August 10, 2019

1. Whether the Partial Credit Guarantee (PCG) Scheme of Government of India covers Securitisation transactions and / or Transactions involving Transfer of Assets through Direct Assignment?

The scheme is applicable for the transactions involving transfer of Assets through Direct Assignment.

2. Whether the guidelines on Minimum Holding Period (MHP) and Minimum Retention Requirement (MRR) prescribed for Direct Assignment Transactions are applicable to the scheme?

MHP & MRR requirements are not applicable to the transactions under the PCG Scheme.

3. Whether, the originating NBFCs/HFCs can offer credit enhancement for the pooled assets made available under the scheme?

Yes, the originating NBFCs/HFCs can offer credit enhancement. However, for such credit enhancement, they need to maintain capital as per the capital requirements prescribed for NBFCs/HFCs by the Bank.

4. Whether the NBFCs/HFCs failing to meet the requirements as per the existing RBI guidelines shall have to maintain capital for the assets sold as if these were still on the books of the originating NBFC/HFC?

No, the transactions covered under the PCG scheme adhering to the prescriptions as per Government of India notification dated August 10, 2019 and the clarifications provided herein will be deemed to have met true sale criteria and the originating NBFC/HFC would not be required to maintain any capital after the transfer of the pooled assets to the purchasing PSBs except in the cases where the originating NBFC/HFC provides credit enhancement.

5. Can the originating NBFCs/HFCs, re-purchase the assets transferred under the provisions of the PCG Scheme?

Yes, the originating NBFCs/HFCs have the option to buy back their assets after a specified period of 12 months, as a re-purchase transaction on a right of first refusal basis.

6. When the originating NBFC/ HFC exercise the option to buy back their assets after a specified period of 12 months as a repurchase transaction, are they required to maintain capital for the repurchased assets?

Yes, upon buy back of the assets under the PCG scheme, the originating NBFC/ HFC will be required to maintain capital for the re-purchased assets as per the capital requirements prescribed for NBFCs/HFCs by the Bank.

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Date : Aug 25, 2016

Enhancing Credit Supply for Large Borrowers through Market Mechanism

(i) If a borrower has aggregate sanctioned credit limit of Rs.25,000 crore on or before March 31, 2016, will it still qualify as a 'Specified Borrower'?

Ans: In all such cases, the borrower will be deemed to be a 'Specified borrower' from April 1, 2016 and the disincentive mechanism will be applicable from April 1, 2017 if the borrower borrows from the banking system beyond the NPLL.

(ii) If a borrower becomes a 'specified borrower' during the last quarter of the FY 2016-17, say on March 31, 2017, then what will be the date of application of the disincentive mechanism?

Ans: As the disincentive mechanism will be applicable from the FY succeeding the FY in which a borrower becomes a 'specified borrower', the disincentive mechanism will be applicable from April 1, 2017 for any borrowing from the banking system beyond the NPLL.

(iii) Is there any restriction on borrowers tapping the market mechanism for their funding needs before they reach the ASCL?

Ans: Borrower are free to raise their funding needs from any source at any level.

(iv) Whether ECB and Trade Credit raised from overseas branches of Indian banks be counted towards ASCL?

Ans: Yes, ECB and Trade Credit raised from overseas branches of Indian banks will count towards ASCL.

(v) In terms of circular DBOD.No.BP.BC.97/21.04.141/2009-10 dated April 23, 2010 on "Classification of Investments by Banks in Bonds issued by Companies engaged in Infrastructure Activities", investment by scheduled commercial banks in the long-term bonds issued by companies engaged in executing infrastructure projects and having a minimum residual maturity of seven years may be classified under HTM category. Whether this classification will be available for investments made by banks in bonds issued by infrastructure 'specified borrowers' beyond their NPLL?

Ans: Bonds subscribed by banks and which meet the criteria specified in circular dated April 23, 2010 will continue to be classified under HTM category.

(vi) Will the additional risk weight on incremental exposure result in change in credit rating also?

Ans: No, additional risk weight on incremental exposure merely on account of borrower being classified as specified borrower, should not normally result in change in credit rating.

(vii) Whether borrowers under restructuring will be covered in the framework? Whether additional credit facilities extended during restructuring of stressed borrowers will be included in computing the ASCL?

Ans: In cases of accounts with ASCL above the cut-off where S4A is implemented, both the sustainable and unsustainable debt (Parts A & B) should be counted towards calculating ASCL.

Restructured accounts where cut-off ASCL is achieved/likely to be achieved due to additional finance under the restructuring package under JLF and other RBI frameworks, should not be subjected to disincentive mechanism for the incremental exposure.

(viii) Whether subscription to the market instruments in the primary market will be reckoned towards NPPL.

Ans: Yes, subscription to the market instruments in the primary market will be considered to determine exposures beyond NPPL.

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Date : Mar 29, 2016

Marginal Cost of Funds based Lending Rate (MCLR)

1. The guidelines specify that MCLR calculated using methodology prescribed shall correspond to the tenor of funds in the single largest maturity bucket provided it is more than 30% of the entire funds reckoned for determining the MCLR. But my bank does not have a single time bucket which has more than 30% share of the funds reckoned for MCLR. In such a case, the MCLR calculated as per the methodology indicated shall correspond to which tenor?

Let's assume a bank has following maturity profile of borrowings:

Sr. No.	Original Maturity	Balance outstanding as a percentage of total funds (other than equity)		Cumulative weightage	
1	5 years & above	15.1%	15.1%		
2	3 years & above but less than 5 years	11.8%	26.9%		
3	2 years & above but less than 3 years	9.3%	36.2%		
4	1 year & above but less than 2 years	16.9%	53.1%		
5	6 months & above but less than 1 year	24.3%	77.4%		
6	91 days & above but less than 6 months	10.5%	87.9%		
7	Up to 90 days	12.1%	100%		
	Total	100%			

In this case, the MCLR shall correspond to the weighted average of tenor of the first three time buckets.

2. Whether the tenor premium charged will be for contractual tenor or residual tenor?

Since floating rate loans are subject to periodic resets, the tenor premium will be the appropriate premium for the residual period up to the next reset date.

3. What will be the denominator used for arriving at the operating cost for computing MCLR?

Banks may calculate all operating costs as a percentage of marginal cost of funds for computing MCLR.

4. Clarify the definition of short term borrowings.

A short term borrowing means borrowing of tenor up to but less than one year.

5. Can components of spread be negative?

The components of the spread i.e. business strategy and Credit risk premium shall have either a positive value or be zero. In other words, the spread components cannot be negative.

6. Banks grant fixed rate loans to long term projects where initial debt facility consists of loan for a medium term say 5 to 7 years. These loans are then refinanced after the specified period. Will these types of loans be permitted under MCLR system?

Banks can grant fixed rate loans to long term projects wherein the interest rate are fixed till the loan is due for refinancing. The loan, at the time of refinancing, will be treated as a fresh fixed rate loan with a maturity period equal to the period upto the next date of refinancing. Such fixed rate loans will fall under the directions contained in Section 13(d)(v) of Reserve Bank of India (Interest Rate on Advances) Directions, 2016.

7. Will the interest rates on fixed rate loans (or fixed portion of hybrid loans) be based on the date of sanction or disbursement?

The interest charged on fixed rate loans as well as the fixed portion of hybrid loans will be the interest rate mentioned in the sanction letter.

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Date : Sep 02, 2015

Savings Bank Deposit Account (BSBDA) – FAQs (RRBs/StCBs/DCCBs)

1. Query

What is the definition of 'Basic Savings Bank Deposit Account' (BSBDA)?

Response

All the existing 'No-frills' accounts opened pursuant to guidelines issued vide circular RPCD.RF.BC.54/07.38.01/2005-06 dated December 13, 2005 and RPCD.CO.No.RRB.BC.58/ 03.05.33(F) / 2005-06 dated December 27, 2005 and converted into BSBDA in compliance with the guidelines issued in circular RPCD.CO.RRB.RCB.BC.No.24/07.38.01/2012-13 dated August 22, 2012 as well as fresh accounts opened under the said circular should be treated as BSBDA. Accounts enjoying additional facilities under the reasonable pricing structure for value added services, exclusively for BSBDA customers should not be treated as BSBDA.

2. Query

Whether the guidelines issued on 'no-frills' account with 'nil' or very low minimum balances will continue even after the introduction of 'Basic Savings Bank Deposit Account'?

Response

No. In supersession of instructions contained in circular RPCD.RF.BC.54/07.38.01/2005-06 dated December 13, 2005 and RPCD.CO.No.RRB.BC.58/03.05.33(F)/2005-06 dated

December 27, 2005 on No Frill accounts, banks have now been advised to offer a 'Basic Savings Bank Deposit Account' to all their customers vide RPCD.CO.RRB.RCB.BC.No.24/07.38.01/2012-13 dated August 22, 2012 which will offer minimum common facilities as stated therein. Banks are required to convert the existing 'no-frills' accounts' into 'Basic Savings Bank Deposit Accounts'.

3. Query

Can an Individual have any number of 'Basic Savings Bank Deposit Account' in one bank?

Response

No. An individual is eligible to have only one 'Basic Savings Bank Deposit Account' in one bank.

4. Query

Whether a 'Basic Savings Bank Deposit Account' holder can have any other saving account in that bank ?

Response

Holders of 'Basic Savings Bank Deposit Account' will not be eligible for opening any other savings account in that bank. If a customer has any other existing savings account in that bank, he / she will be required to close it within 30 days from the date of opening a 'Basic Savings Bank Deposit Account'.

5. Query

Can an individual have other deposit accounts where one holds 'Basic Savings Bank Deposit Account'?

Response

Yes. One can have Term/Fixed Deposit, Recurring Deposit etc., accounts in the bank where one holds 'Basic Savings Bank Deposit Account'.

6. Query

Whether the 'Basic Savings Bank Deposit Account' can be opened by only certain types of individuals like poor and weaker sections of the population?

Response

No. The 'Basic Savings Bank Deposit Account' should be considered as a normal banking service available to all customers, through branches.

7. Query

Whether there are any restrictions like age, income, amount etc criteria for opening BSBDA by banks for individuals?

Response

No. Banks are advised not to impose restrictions like age and income criteria of the individual for opening BSBDA.

8. Query

Is the 'Basic Savings Bank Deposit Account' a part of the Financial Inclusion plans of banks?

Response

The aim of introducing 'Basic Savings Bank Deposit Account' is very much part of the efforts of RBI for furthering Financial Inclusion objectives. All the accounts opened earlier as 'no-frills' account vide RPCD Circular dated RPCD.RF.BC.54/07.38.01/2005-06 dated December 13, 2005 and RPCD.CO.No.RRB.BC.58/03.05.33(F)/2005-06 dated December 27, 2005 should be renamed as BSBDA as per the instructions contained in paragraph 2 of our Circular RPCD.CO.RRB.RCB.BC.No.24/07.38.01/2012-13 dated August 22, 2012 and all the new accounts opened since the issue of our circular RPCD.CO.RRB.RCB.BC.No.24 dated August 22, 2012 should be reported under the monthly report of the progress of Financial Inclusion plans submitted by banks to RPCD, CO.

9. Query

What are KYC norms applicable to BSBDA accounts? Are there any relaxations in KYC norms for BSBDA's?

Response

The 'Basic Savings Bank Deposit Account' would be subject to provisions of PML Act and Rules and RBI instructions on Know Your Customer (KYC) / Anti-Money Laundering (AML) for opening of bank accounts issued from time to time. BSBDA can also be opened with simplified KYC norms. However, if BSBDA is opened on the basis of Simplified KYC, the accounts would additionally be treated as "BSBDA-Small account" and would be subject to the conditions stipulated for such accounts as indicated in our circulars RPCD.CO.RCB.AML.BC.No.63/07.40.00/2010-11 dated April 26, 2011 and RPCD.CO.RRB.AML.BC.No.15/03.05.33(E)/2011-12 dated August 8, 2011.

10. Query

Can I have a 'Small Account' in ABC Bank as per the Government of India Notification No.14/2010/F.No.6/2/2007-E.S. dated December 16, 2010. Can I have additionally a 'Basic Savings Bank Deposit Account'?

Response

No, the BSBDA customer cannot have any other savings bank account in the same bank. If 'Basic Savings Bank Deposit Account' is opened on the basis of simplified KYC norms, the account would additionally be treated as a 'Small Account' and would be subject to conditions stipulated for such accounts as indicated in our circulars RPCD.CO.RCB.AML.BC.No.63/07.40.00/2010-11 dated April 26, 2011 and RPCD.CO.RRB.AML.BC.No.15/03.05.33(E)/2011-12 dated August 8, 2011 on 'Opening of Small Account.'

11. Query

What are the conditions stipulated for accounts which are additionally to be treated as 'BSBDA-Small Account'?

Response

As notified in terms of Govt. of India notification dated December 16, 2010, BSBDA-Small Accounts would be subject to the following conditions:

- i. Total credits in such accounts should not exceed one lakh rupees in a year.
- ii. Maximum balance in the account should not exceed fifty thousand rupees at any time
- iii. The total of debits by way of cash withdrawals and transfers will not exceed ten thousand rupees in a month
- iv. Foreign remittances cannot be credited to Small Accounts without completing normal KYC formalities
- v. Small accounts are valid for a period of 12 months initially which may be extended by another 12 months if the person provides proof of having applied for an Officially Valid Document.
- vi. Small Accounts can only be opened at CBS linked branches of banks or at such branches where it is possible to manually monitor the fulfillments of the conditions

12. Query

What kinds of services are available free in the 'Basic Savings Bank Deposit Account'?

Response

The services available free in the 'Basic Savings Bank Deposit Account' will include deposit and withdrawal of cash; receipt / credit of money through electronic payment channels or by means of deposit / collection of cheques at bank branches as well as ATMs.

13. Query

Is there requirement of any initial minimum deposit while opening a BSBDA as per the circular dated August 22, 2012?

Response

There is no requirement for any initial deposit for opening a BSBDA.

14. Query

Whether banks are free to offer more facilities than those prescribed for 'Basic Savings Bank Deposit Account'?

Response

Yes. However, the decision to allow services beyond the minimum prescribed has been left to the discretion of the banks who can either offer additional services free of charge or evolve requirements including pricing structure for additional value-added services on a reasonable and transparent basis to be applied in a non-discriminatory manner with prior intimation to the customers. Banks are required to put in place a reasonable pricing structure for value added services or prescribe minimum balance requirements which should be displayed prominently and also informed to the customers at the time of account opening. Offering such additional facilities should be non - discretionary, non-discriminatory and transparent to all 'Basic Savings Bank Deposit Account' customers. However such accounts enjoying additional facilities will not be treated as BSBDA.

15. Query

If BSBDA customers have more than 4 withdrawals and request for cheque book at additional cost, will it cease to be a BSBDA?

Response

Yes. Please refer to response to the above query (Query No.14). However, if the bank does not levy any additional charges and offers more facilities free than those prescribed under BSBDA a/cs without minimum balance then such accounts can be classified as BSBDA.

16. Query

Whether the existing facility available in a normal saving bank account of five free withdrawals in a month in other banks' ATMs as per IBA (DPSS) instructions will hold good for BSBDA?

Response

No. In BSBDA, banks are required to provide free of charge minimum four withdrawals, through ATMs and other mode including RTGS/NEFT/Clearing/Branch cash withdrawal/transfer/internet debits/standing instructions/EMI etc. It is left to the banks to either offer free or charge for additional withdrawal/s. However, in case the banks decide to

charge for the additional withdrawal, the pricing structure may be put in place by banks on a reasonable, non-discriminatory and transparent manner by banks.

17. Query

Are the banks free to levy Annual ATM Debit Card charges?

Response

Banks should offer the ATM Debit Cards free of charge and no Annual fee should be levied on such Cards.

18. Query

Whether Balance enquiry in ATMs also should be counted within the four withdrawals permitted under BSBDA?

Response

Balance enquiry through ATMs should not be counted in the four withdrawals allowed free of charge at ATMs.

19. Query

If a customer of BSBDA agrees not to have ATM Debit card should the bank give ATM debit card by force?

Response

ATM debit cards may be offered at the time of opening BSBDA and issued if the customer requests for the same in writing. Banks need not force ATM debit cards on such customers.

20. Query

What about customers who are illiterate or old who may not be in a position to safe keep and use the ATM debit card and PIN associated with it?

Response

Banks while opening the BSBDA should educate such customers about the ATM Debit Card, ATM PIN and risk associated with it. However, if customer chooses not to have ATM Debit Card banks need not force ATM debit cards on such customers. If, however, customer opts to have an ATM Debit Card, banks should provide the same to BSBDA holders through safe delivery channels by adopting the same procedure which they have been adopting for delivery of ATM Debit Card and PIN to their other customers.

21. Query

Whether Passbooks are also to be offered free to BSBDA holders?

Response

Yes. BSBDA holders should be offered passbook facility free of charge in line with our instructions contained in circulars RPCD.CO.RF.BC.28/07.40.06/2006-07 dated October 11, 2006 and RPCD.CO.RRB.BC.No.29/03.05.28-A/2006-07 dated October 13, 2006.

22. Query

If a customer opens a BSBDA but does not close his existing Savings Bank Account within 30 days, are banks then free to close such savings bank accounts?

Response

While opening the BSBDA customers' consent in writing be obtained that his existing non-BSBDA Savings Banks accounts will be closed after 30 days of opening BSBDA and banks are free to close such accounts after 30 days.

23. Query

In certain accounts like NREGA where disbursements are made weekly and if a month has five weeks, it may result in more than four withdrawals. In such cases can banks permit five withdrawals?

Response

In BSBDA, banks are required to provide free of charge minimum four withdrawals, including through ATM and other mode. Beyond four withdrawals, it is left to discretion of the banks to either offer free or charge for additional withdrawal/s. However pricing structure may be put in place by banks on a reasonable, non-discretionary, non-discriminatory and transparent manner by banks.

24. Query

What is the prescribed rate of interest payable on balances in such 'Basic Savings Bank Deposit Account'?

Response

Our instructions contained in circular RPCD.CO.RRB.BC.No.57/03.05.33/2011-12 dated January 30, 2012 on Deregulation of Savings Bank Deposit Interest Rate, are applicable to deposits held in 'Basic Savings Bank Deposit Account'.

25. Query

In terms of RBI circular DPSS.CO.CHD.No.274/03.01.02/2012-13 dated August 10, 2012, if 'payable at par' / 'multi-city' cheques are issued to BSBDA customers based on their request, can banks prescribe minimum balance requirements?

Response

BSBDA does not envisage cheque book facility in the minimum facilities that it should provide to BSBDA customers. They are free to extend any additional facility including cheque book facility free of charge (in which case the account remains BSBDA) or charge for the additional facilities (in which case the account is not BSBDA).

26. Query

What is the time frame available to banks for converting 'No-Frills' Account as Basic Savings Bank Deposit Account? What is the time frame available to banks for issuing ATM Cards to all the existing Basic Savings Bank Deposit Account holders?

Response

All the existing 'No-Frill' accounts may be treated as BSBDA accounts from the date of the circular i.e., August 22, 2012 and banks may offer the prescribed facilities as per the circular such as issuing ATM card etc., to the existing 'No-Frill' account holders as and when the customer approaches the bank. However, for customers opening new accounts after the issue of our circular should be provided with the prescribed facilities immediately on opening of the account.

27. Query

Whether the normal saving bank account can be converted into BSBDA at the request of customer?

Response

Yes. Such customers should give their consent in writing and they should be informed of the features and extent of services available in BSBDA's.

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Date : Sep 27, 2011

Automated Data Flow

Automated Data Flow (ADF) from banks to Reserve Bank of India

The Reserve Bank of India has placed on its website an Approach Paper describing the goals and objectives of Automated Data Flow (ADF) and advised the banks to implement Automated Data Flow. The approach paper can be accessed through the link Home >> Press Releases >> November 11, 2010. Banks have been individually seeking clarification from RBI officials on ADF. Consolidated questions and responses are presented as FAQs on ADF.

Frequently Asked Questions (FAQs) on ADF

1. WHAT IS THE BACKGROUND FOR ADF?

In several of its functions, Reserve Bank of India relies on data submitted by banks and quality of data is of great importance. In order to meet the need for correct and consistent data, the Reserve Bank of India has initiated the project on Automated Data Flow (ADF).

2. WHAT IS THE OBJECTIVE OF ADF?

ADF seeks to ensure submission of correct and consistent data from the banks straight from their systems to Reserve Bank without any manual intervention.

3. WHY IS ADF THOUGHT OF NOW?

With CBS in banks, it is felt that time has come to utilize CBS system capabilities to meet requirements like MIS, ADF, etc, in addition to regular transactional activities.

4. WHETHER ANY SPECIFIC APPROACH HAS BEEN RECOMMENDED?

No specific approach has been recommended for achieving ADF due to the reason that various banks are at different levels of IT and Process maturity. However, the Approach Paper on ADF clearly articulates the common end state for achieving the objectives of ADF.

5. WHETHER ANY PARTICULAR TECHNOLOGY OR PROCESS HAS BEEN RECOMMENDED FOR ADF?

No specific Technology, Vendor, Service Provider or Process has been recommended for achieving ADF and it has been left to the banks to decide on these issues on the basis of internal requirements.

6. HOW DO BANKS ASSESS THEIR LEVEL OF TECHNOLOGY AND PROCESS MATURITY TO IMPLEMENT ADF?

Banks can refer to the methodology given in the Approach Paper to assess People, Process and Technology maturity and place themselves in a specific cluster which in turn would help in determining the time lines for implementation of ADF.

7. WHAT IS THE MEANING OF 'DIRECTLY FROM SOURCE SYSTEM WITHOUT ANY MANUAL INTERVENTION' IN THE CONTEXT OF ADF?

'Direct from the source system without any manual intervention' implies that whatever data and information is available in CBS and other IT systems of the banks would be submitted to the regulator without any manual aggregation, conversion or filling of data. Activities like collecting or collating of data from diverse source systems and compiling them into RBI prescribed formats manually would fall within the meaning of manual intervention.

8. WHETHER ANY DATA DEFINITION, REPORTING FORMAT, RATIONALISATION OF RETURNS ETC. HAS BEEN PRESCRIBED UNDER ADF PROJECT?

No. It is clarified that requirement under ADF is restricted to ensuring that data as available in the banks' source systems is submitted to Reserve Bank without any manual intervention. All returns, statement and reports prescribed by RBI to be submitted by banks fall under the ADF project.

9. WHETHER DATA WILL BE 'PUSHED' OR 'PULLED' UNDER ADF?

For the present, the priority under ADF is to ensure that the banks put in place a system which will ensure quality of data compiled from source systems of banks to be submitted to RBI. After a verifiable system has been put in place by all banks, it will be decided in due course as to what arrangements would be best suited for flow of data from banks.

10. WHETHER ADF IMPLEMENTATION WILL BE PIECE-MEAL OR HOLISTIC?

Banks are free to go ahead with a holistic plan by designing and implementing long-term solutions. However, the banks need to implement ADF for the returns committed under their roadmaps. Further, the returns identified by Reserve Bank for immediate implementation in a time bound manner also need to be brought under ADF.

11. WHETHER ANY TIMELINES HAVE BEEN RECOMMENDED FOR ADF?

The total time for complete implementation of ADF would depend on the cluster in which the bank places itself after making an assessment of Process and Technology maturity as per the methodology given in the Approach Paper. However, it is expected that the banks with advanced IT systems and experience of working in computerised environment would take the lead and implement ADF in shortest possible time, say, even 2-3 months. In general, banks should strive to meet the objectives within shortest possible timelines.

12. WHAT LEVEL OF 'GRANULARITY' IS DESIRABLE IN ADF

The granularity to be built in the system should be able to meet the current requirements of regulatory reporting as prescribed by various departments of Reserve Bank. However, over and above this, banks are free to determine and have a finer granularity not only to meet ad-hoc requirements of RBI from time to time but also for internal MIS..

13. WHICH ALL RETURNS ARE APPLICABLE TO A BANK?

A list of returns generally applicable to the banks has been made available in the Approach Paper. However, every bank is required to work on all the RBI returns applicable to it.

14. IS A 'ROADMAP' ESSENTIAL PART OF ADF?

Yes. The Roadmap to be prepared as per the recommendations of the Approach Paper would enable the banks to set milestones for achieving ADF which in turn would also help in monitoring from time to time the progress made in implementation.

15. WHAT ABOUT RETURNS REQUIRING QUALITATIVE INPUTS?

Such returns which require qualitative or subjective inputs and narrations may be considered for classification as complex returns by the banks and may be taken up for implementation towards the end of the project.